ARU seller file and letter of intent

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Fictional authors: Fred Tolman for the seller group; Daniel Mercer for buyer sponsorship; transaction counsel function for terms

Record origin: SYNTHETIC_COMPANY_RECORD | **Evidence state:** SYNTHETIC_RECONSTRUCTED, not an executed real instrument

Decision state: LOCKED_CANON parties/strategy; LOCKED_DERIVED_IMPLEMENTATION LOI dates and detailed conditions

Fred Tolman and the sellers

Fred Tolman, 65 in the derived 2026 biography, joined the predecessor logistics business in 1984 through commercial dispatch work. He learned terminal economics during the unsuccessful broad trucking venture, moved into general management as ARU formalized, assembled a controlling holding by 2002 and became CEO in 2006. He expanded repeat customers but deferred some asset renewal and never made succession fully independent of himself.

He sells because the next capital cycle and succession burden exceed what he wants to finance and lead. ARU is a viable going concern, not a rescue from insolvency. His knowledge remains useful after sale, while his authority ends at close. He is unrelated to Henry Norwood and is not the Red Wash seller.

The four sellers are Fred Tolman (60%), his sister Adele Tolman (20%), Nora Ashcombe (10%) and Seth Kettering (10%). All are synthetic U.S.-citizen natural persons holding one class of identical economic common shares. Adele is a passive family holder, not operating management. Nora and Seth sell every share and continue as employees without rollover. The finance source controls exact shares, proceeds and retention entries.

Origin of contact

After the Q3 2025 external-carrier capacity change, Red Wash's Q4 carrier search broadened to rail/interface mapping. A documented October 17 inquiry identified ARU as BS&T's owner. Preliminary operating discussions on October 24 preceded acquisition interest. No banker introduced a ready-made Red Wash solution; no 2025 Red Wash movement or revenue is attributed to ARU/BS&T.

Reconstructed November 14 LOI terms

SHIH proposes a 100% ARU stock purchase at $62.0M enterprise value, subject to confirmatory diligence, a debt/cash/working-capital bridge and definitive documentation. The price assumes an independently viable $42.0M revenue/$9.8M normalized EBITDA business; it includes no Red Wash synergy guarantee. All minority shares participate. No earn-out and no seller rollover are contemplated.

The parties agree to a synthetic exclusivity period through December 19, with ordinary-course operation, access to books/assets/personnel under appropriate confidentiality, and no obligation to close until definitive conditions are met. The $11M catch-up need is disclosed as a buyer-funded stewardship program. It is separate from sustaining capex and the later mine-interface proposal.

Diligence conditions include the material customer renewal, collectible receivables, payroll and shared-service allocations, equipment/track condition, environmental reserve, open claim, lease/debt consents, four-person stock ownership, S eligibility and all-shareholder tax election cooperation. The railroad retains its corporate identity, common-carrier responsibilities and property-specific labor agreements.

The LOI directs the successor team to be interviewed before signing, because a nine-month seller consultancy cannot substitute for day-one management. Fred may explain relationships and history after close but cannot dispatch, hire, spend or direct employees. The final approval and purchase-agreement summary records conditions actually adopted in the synthetic transaction.